

debate is of fundamental importance in that the concept of 'relative autonomy of the state' amounts to a major theoretical leap in the theory of the capitalist state. This debate is built primarily on analyses developed from the points of view of political science and sociology. The LTV categories which appear in Poulantzas' works are by and large secondary, and in fact yield absurd results in the political domain. (For instance, by only considering productive laborers as constituents of the working class, he finds himself obliged to assign disproportionate importance to the petty bourgeoisie in socialist politics.)¹⁰

The 'neo-Ricardian' and 'fiscal crisis of state' approaches do appear on the surface to attach more weight to economic analysis. In the former approach, LTV concepts are used, but superficially (for instance, profit-wage ratio is equalized to rate of surplus-value); as a result, the determinants of capitalist crisis are searched for in the political sphere (overemphasis on class struggle). In the latter, a Keynesian logical framework is implicit beneath the usage of Marxist terminology; emphasis is placed on the contradiction between the state's role in the process of capital accumulation, and its actions towards its own legitimization; however, the limits of the state's economic functions are not discussed effectively.¹¹

The second school is the German Capital-Logic

approach. This theory differs from those outlined above: the specificity of the capitalist state is stressed (the spheres of polity and economy are separated) and its characteristics are derived from the capitalist mode of production. However, the central position assigned to the philosophically defined concept of 'capital' results in confusion on the nature of the capitalist state. According to this approach, "The state... can be conceived... as a special form of the accomplishment of the social existence of capital along with and besides competition" (Altvater, 1973, p. 99). As a matter of fact, the views of the capital-logic school on the limitations of state intervention are also confused. These are formulated since "to understand the limits to state action it was necessary to analyze the relation between state and society; to understand this relation, it was seen to be necessary to analyze the source of the relation, the source of the relation, the source of the particularization (Besonderung) of capitalist society into apparently autonomous spheres of state and society." (Holloway and Picciotto, 1978, p. 16) While the separation of economy and polity is a positive contribution as a negation of their one-to-one correspondence in vulgar materialism, they lead to various analyses in which politics that are, in substance, empiricist, gain primacy. In this connection, "Habermas stresses the way in which

'natural' economic laws are increasingly displaced on to the political plane within late capitalism, recreating the underlying contradictions in new forms" (Gough, 1979, p. 157).

According to Gough, there are two phases within the modern discussion of the theories of the capitalist state. The first phase is the debate on the nature of the capitalist state which was originally initiated by Miliband and Poulantzas in the late 1960's. The second phase of the debate is the one between Poulantzas' Structuralist position and the German Capital-logic school. Gough critically evaluates these approaches and points out the merits and defects of each. Then, by identifying errors common to both, he suggests the direction that Marxist analyses of the capitalist state should adopt. He claims that The Political Economy of Welfare State "attempts to...corporate the positive features of each approach" in an analysis of the welfare state (Gough, 1979, p. 157). In order to situate Gough's own theoretical position concerning the nature, role and function of the capitalist state vis-a-vis the above schools of thought; it would be useful to briefly present his criticisms of these approaches.

In discussing the Miliband-Poulantzas' phase of the debate, Gough claims that although there are many methodological and substantial differences in each approach, they exhibit "an underlying unity, summed up

in the notion that the capitalist state is "relatively autonomous". He adds that his own article on the analysis of the state expenditure in advanced capitalism also uses the notion of the 'relatively autonomous capitalist state'. However, Gough finds the German school's criticism useful, especially their emphasis on the importance of "the link between the nature and functions of the capitalist state and the autonomous dynamic of capital" (Gough, 1979, p. 155). This criticism, argues Gough, led to the change in focus of the debate from Poulantzas-Miliband to a so-called class-theoretical vs. capital-theoretical argument.

In dealing with the structuralist class-theoretical position, Gough sees the following elements as the contributions of this approach to the debate: emphasis on a) polity which is something different from the mere reflection of the economic, b) class-conflict, and c) hierarchy of states at a world level. On the other hand, he finds it partially defective on the following three grounds: Following E. Laclau's criticism, Gough also disagrees with Poulantzas that "the state is not an institution with power at all: it is a relation" (Gough, 1979, p. 156). In other words, it is "...generalized to become everything that constitutes the cohesion of a social formation, including the family, religion and so on." The other two criticisms are that the effects of state action are conceived as necessarily corresponding

to the interest of the dominant class and that class struggle is introduced into the analysis purely for the sake of providing a dynamic to the system. Thus, for Gough, the Poulantzas approach can be interpreted as a form of economic reductionism and it subordinates the role of capital accumulation to the class struggle.

As for the capital-logic school, Gough notes the "analysis of the state within the development of capitalist relations" and considers "the changing historical role of the state ." as an important aspect of this approach. On a critical note, he mentions the functionalist integration of the class struggle into this particular analysis and the insufficient attention paid to the existence of a world system of nation states.

In identifying the common errors which exist in both class-theoretical and capital-theoretical elements of a new direction for an analysis of the capitalist state. First, the state must be conceived, according to Gough, "as an independent subject...". Second, "the role working-class struggle in altering the parameters of state action," and third, "the crucial features of representative democracy which functions so well within the capitalist system" must be recognized (Gough, 1979, p. 157). Direct criticism of the above theoretical premises, especially in relation to specific historical junctions and nation-states, is beyond the scope of our

work. However, the utilization of the notion of social-wage based on such premises in Gough's work will be critically evaluated in Chapter V.

Gintis and Bowles start their review of the theories of the capitalist state by questioning two propositions within the Marxist debate concerning the nature and role of the state. These two propositions are:

- a) "(T)he notion that the logic of accumulation is set by the character of capitalist social relations alone, the role of the state being simply a response to the pattern of growth and to the crisis generated by the capitalist mode of production."
- b) "(T)he idea that the state is a factor of cohesion in the social formation, its primary function being to reproduce the social relations of production" (Gintis and Bowles, 1982 A, p. 51). Gintis and Bowles conceive Marxist theories of the state as being reflections either of capital's dominance - proposition (a) - or "a balance of class forces forged within the dynamics of capitalist accumulation". In other words, they criticize the perception of the state as a "dependent" variable in the process of capital accumulation.

In their review, Plekhanov, Lenin, Bukharin and Sweezy are also considered as representatives of the classical formulation. In these positions, the state is

mostly an 'element of functional totality' and as Sweezy puts it, "an instrument in the hands of the ruling classes for enforcing and guaranteeing the stability of class structure". On the other hand, within the modern discussions of the capitalist state Gintis and Bowles identify three trends: Structuralist, instrumentalist and fiscal crisis approaches. As an underlying premise of the structuralist school, the state is seen as a requirement for the reproduction of the conditions of capital accumulation. This is seen as structuralist, since for this school such a requirement is a by-product of the nature of the state's articulation with the capitalist economy. Besides Poulantzas and Therborn, according to Gintis and Bowles, the key to this model is presented in the literature by Fred Block: "the independence of investment decision from state control" and "the dependence of a popularly elected government on high levels of growth and unemployment for its continuance in power" (Gintis and Bowles, 1982A, p. 57) however, Gintis and Bowles' criticism of this school of thought is also applicable to block's work; that is, the state still remains functional to capital.

Among the participants of the debate on the nature of the capitalist state from an instrumentalist standpoint, Miliband's and Domhoff's names are mentioned, and they are criticized for their assumption about the political influence of the economic elite

which nullifies the poser of a mass electorate. Gintis and Bowles do not see the capital logic school as fundamentally different from either structuralist or instrumentalist positions, since its main premise is also the reproduction of the conditions of capital accumulation by the state.

The tradition within which Gintis and Bowles seek and alternative and formulate their own position is that of the Fiscal Crisis school and Gough's analysis of the welfare state. Specifically, O'Connor's notion that the state is in contradiction with advanced capitalism and Gough's views on the distributional impact of welfare state expenditures through the social wage are adopted by Gintis and Bowles. In their own words, "the state is a part of rather than a mere protector of the 'rules of the game'. In effect, the accumulation process cannot be understood on a purely 'economic' or (worse) 'self-regulating' process" (Gintis and Bowles, 1982A, p. 57) This vision leads Gintis and Bowles to a perception of the advanced capitalist social formation "as an articulation of the liberal democratic state and capitalist production in which the dynamics of the whole cannot be reduced to the structure of either" (Gintis and Bowles, 1982A, p. 57).

As in the case of Gough, it is not our intention here to present an overall critique of Gintis' and Bowles' position. Rather, their utilization and

concretization of the concept of 'citizen wage' will be critically dealt with in Chapter V. This limited criticism is consistent with our project of developing and conceptual framework within which the state's revenues and expenditures can be properly classified and the distributive functions of the capitalist state vis-a-vis the working class can be analyzed.

Footnotes:

1. I have especially benefited from Oakley's important book on the development of Marx's critical theory (Oakley, 1983). Other sources on the 'plan problem' are: Grossman (1929), Rosdolsky (1977), Itoh (n.d.), and Rubel (1981).
2. "(Marx) saw this as the beginning of the critique of jurisprudence and political science in the form of a critique of the Hegelian philosophy of right" (Marx and Engels, 1975, p. 187).
3. "This draft has no author's title and is near the beginning of Marx's Notebook for 1844-1847. The main points of the draft coincide with the points of the subject indexes compiled by Marx as early as the summer of 1843 for his 'Kreuznach Notebooks' on world history, including the history of the French Revolution. In resuming his study of these problems after his arrival in Paris in the autumn of that year, Marx intended to write a History of the Convention. For this purpose he compiled a summary of the memoirs of the Jacobin Levasseur (see present edition, Vol. 3). The materials he collected, most of which have not come down to us, were used in part in The Holy Family. It was probably in connection with his plan to write a work on the French Revolution (he did not abandon this idea even in 1845 after his expulsion from Paris to Belgium, as is borne out by a report in the Trier'sche Zeitung of February 6, 1845) that he compiled this draft. In it Marx did not merely reproduce the text of the subject indexes to the 'Kreuznach Notebooks', he made a substantial addition to point 9, adding the words 'the fight for the abolition (Aufhebung) of the state and of bourgeois society', i.e., the fight to abolish the exploiter state and the whole existing system of social-economic relations." (Marx and Engels, 1975, p. 719)
4. Emphasis is mine - EAT (Marx and Engels, 1965, p. 30).
5. This does not mean that Marx's writings do not contain valuable insights required for a materialist theory of the state. It is, in fact, plausible to argue that even some very recent contributions to the Marxian theory of the state, such as the 'relative autonomy of state', may be derived from Marx's and Engels' manuscripts. See, Engels and Marx (1973, p. 80). Unfortunately, we do not have any one volume which contains all of Marx's writings on the state. Except for Draper's (1977) study which is, 'in the best sense of the term', a contribution to Marxology, most works are an introductory nature. See, Miliband (1965), Moore